

The HCL Group, too, is heavily invested in semiconductors: HCLTech provides end-to-end engineering services spanning the entire IC manufacturing process. In grabbing Foxconn for an OSAT or outsourced semiconductor assembly and testing plant, HCL is also getting closer to its manufacturing roots in a manner.

Roshni Nadar Malhotra, Chairperson of HCLTech, told *Business Today*, “The genesis of HCL [in 1976] was in manufacturing and creating India’s first indigenous 8-bit processor-based PC. We shipped the same day as Apple, but India was a closed economy, and no one ever covered us. And so, there’s been a rich legacy that we’ve had in engineering services and creating for engineering.”

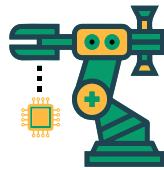
186 | Nadar Malhotra, who runs the business founded by her father Shiv Nadar, says HCL has the manufacturing DNA and understands this ecosystem. HCLTech, the world’s eighth-largest IT services firm, works with all the top semiconductor players and OSATs in equipment automation, data management and process control.

RIGHT TIME

In December 2021, the Indian government announced a ₹76,000-crore incentive package for the semiconductor industry. In the February 2024 Interim Budget, the government allocated ₹6,903 crore for the scheme. Today, with every big economy scrambling to “reshore” the fabs, OSATs are the biggest opportunity unfolding in India’s information technology landscape.

Indian IT services companies have been working with global chip ecosystem players at the backend and now see this as a great opportunity to scale vertically. While HCL Group declined to share more details on the backend work, Harshul Asnani, President-Technology and

THE OSAT STORY



Indian firms like Tata group and CG Power are setting up chip testing and packaging units in the country



OSAT units require lower investment, less land, and less power than fabrication units, and can become operational in a year and a half



By setting up OSAT units, Indian firms can reduce import dependence, and cater to the growing domestic and global demand for chips



The HCL and Hiranandani groups also have plans to set up OSATs considering the surge in chip production



OSAT units also play a crucial role in semiconductor manufacturing as they package and test the silicon chips



In the long run, they could look at advanced packaging and gradually develop their own product

\$69.19 BILLION

OSAT market pegged to reach this figure by 2029, growing at a CAGR of 8.1% from 2019

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